

ITC

A tax quarter is not a broken business

BUY Price Rs 277 Fair value Rs 316 Implied +14.4%

ITC sits at its 52-week low, 35% off its high, after the first full quarter under a 40% GST regime. The profit fall is real. The conclusion the market has drawn from it, I think, is wrong.

Raghav · AUG 2026 · scenario-weighted · ITC · thereservenote.com

Investment summary

ITC trades at roughly Rs 277, within one percent of its 52-week low and 35% below its high, on about 17 times FY26 earnings with a dividend yield near 4.9%. The de-rating followed Q1 FY27, the first full quarter after February's tax change, in which consolidated EBITDA fell 24% and profit before exceptionals fell 23%. My scenario-weighted fair value is Rs 316, roughly 14% above the current price, with a further 4.9% a year collected in dividends while the thesis plays out. I rate this BUY. The tax shock is real and the volume damage is real; what I dispute is that either is permanent.

What actually happened in February

The government moved GST on cigarettes and tobacco to a flat 40% and replaced the compensation cess with an additional excise duty of Rs 2,100 to Rs 8,500 per thousand sticks depending on length. Q1 FY27 was the first full quarter under it. The reported numbers are almost designed to mislead: ITC's cigarette segment revenue rose 73.7% to Rs 16,597 crore, because the duty passes through the top line. Strip the duty out and cigarette revenue fell 31.5% to Rs 3,769 crore. That second number is the business. The first is the government's.

Reading the damage honestly

Consolidated net revenue fell 11% to Rs 18,955 crore, EBITDA fell 24% to Rs 5,181 crore, and profit after tax before exceptionals fell 23.2% to Rs 4,103 crore. This is not an accounting illusion — underlying volumes were hit, and ITC's own language, a 'strategic and calibrated response to the unprecedented increase in tax', is the language of a company absorbing rather than passing on. Godfrey Phillips saw net revenue fall 18.8% and VST was hit too, so this is an industry event, not an ITC execution failure.

Why I think the market has over-corrected

Three reasons. First, ITC has been here before, repeatedly — the 2017 GST cess increase, the punitive excise hikes of 2014 and 2015 that drove quarterly volume declines of 13% and 14%. In each

case the stock de-rated, pricing caught up over four to six quarters, and earnings resumed. The staggered pricing approach management describes is precisely that mechanism running again. Second, ITC still commands over three-quarters of the duty-paid market, which means it holds the pricing power to recover margin that smaller players do not. Third, and most important, the market is valuing the whole company as though it were only cigarettes. It is not, and less so every year.

The part of ITC nobody is paying for

FMCG-Others, paperboards and agri all reported strong growth in the same quarter that cigarettes fell apart. On 1 August 2026 ITC completed the acquisition of Century Pulp and Paper from Aditya Birla Real Estate, materially scaling the paperboards business. At 17 times trailing earnings you are paying a tobacco multiple for a company where the non-tobacco businesses are growing, consolidating and now absorbing acquisitions. The market applies the cigarette discount to the entire entity and gives no credit for the mix shift that has been running for a decade.

What I am underwriting

I model FY27 profit after tax of about Rs 17,500 crore, down roughly 15% as the tax transition works through, recovering to Rs 20,000 crore in FY28 and Rs 22,500 crore in FY29 as pricing normalises and the non-cigarette businesses compound. On FY29 earnings per share of about Rs 17.8 and a 22 times exit multiple, discounted two years at 11%, I get Rs 318. That exit multiple is below ITC's own long-run average, so the base case does not require a re-rating to history — only that the market stops pricing a permanent impairment.

Scenarios

Bull, at 30%: the transition completes faster than feared, volumes stabilise by FY28, and the market re-rates towards 27 times, giving roughly Rs 391, or 41% up. Base, at 50%: Rs 318 as above. Bear, at 20%: pricing fails to recover volume, illegal trade takes durable share, and the market caps ITC at 16 times depressed FY27 earnings — that is about Rs 200, a 28% loss. Weighted, Rs 316. The dividend yield of roughly 4.9% is collected in all three cases, which is what makes the waiting tolerable.

The case against, properly made

The strongest bear argument is not about this quarter, it is structural. Every punitive tax cycle transfers volume from the legal industry to illegal trade, and that share does not fully come back — ITC itself has documented a 25% decline in legal industry volumes since FY13. If the 40% rate is permanent, the addressable market is permanently smaller, and 'pricing catches up' recovers margin but not units. Regulatory risk is unhedgeable and one-directional; no government has ever cut tobacco taxes. And the non-cigarette businesses, while growing, still contribute a minority of profit, so the mix-shift argument is a story about 2032, not 2027. If you cannot hold this through another two years of bad headlines, do not start.

What I would actually do

Buy, and be patient. This is the setup I look for: a dominant franchise, a real but cyclical shock, a market extrapolating one quarter into permanence, and a 4.9% yield paying you to wait for the correction to correct itself. I would add below Rs 260, where the base case alone offers over 20% and the yield approaches 5.2%. The risk I am accepting is not that ITC's business breaks — it is that the market takes longer than my two-year window to notice it hasn't.

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